

Financial statements

Harbour & Co. Supply

2025-01-01 to 2025-12-31 | AUD | Seed 271828

Worked numerical example; disclosure evidence gaps remain open

Primary statements, a profit-to-cash reconciliation and eighteen numbered notes. All numerical tables are computed by the same integer-cent accounting engine that supports the application.

Read this draft in context

These are fictional training statements. Prior-year performance and cash-flow information is not supplied. The comparative financial position is the agreed opening trial balance at 31 December 2024. A complete statutory disclosure assessment, subsequent-events review, related-party review and going-concern conclusion require additional evidence.

Worked numerical figures do not imply that the missing disclosure evidence has been obtained. No audit opinion, directors' declaration or authorisation date is generated. Your saved assessments and outstanding questions remain visible.

Where a monthly performance period is selected, the primary profit, equity and cash-flow statements use that period; the numbered supporting notes use year-to-date movements to the reporting date.

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Statement of profit or loss and comprehensive income

Harbour & Co. Supply | AUD | 2025-12-31

Line item	2025-01-01 to 2025-12-31
Revenue	1,237,071.00
Cost of sales	-485,072.00
Gross profit	751,999.00
Employee costs	-430,349.66
Occupancy	-52,250.00
Administration	-22,500.00
Selling costs	-29,400.00
Finance costs	-6,671.08
Depreciation	-31,473.69
Impairment	-7,662.39
Provisions	-23,000.00
Other expenses	0.00
Other income	0.00
Profit before tax	148,692.18
Current income tax expense	-43,822.43
Deferred income tax expense / (benefit)	10,399.39
Profit for the period	115,269.14
Other comprehensive income (none modelled)	0.00
Total comprehensive income	115,269.14

Comparative performance information has not been supplied. No other comprehensive income is modelled in this case.

Statement of financial position

Harbour & Co. Supply | AUD | 2025-12-31

Line item	2025-12-31	31 Dec 2024
Current assets · Operating bank	263,729.90	210,000.00
Current assets · Petty cash	500.00	500.00
Current assets · Trade receivables	116,439.10	12,000.00
Current assets · Expected credit loss allowance	-10,662.39	-3,000.00
Current assets · Inventory	131,044.00	103,320.00
Current assets · Inventory NRV allowance	-3,289.00	0.00
Current assets · Prepaid subscriptions	3,000.00	0.00
Current assets · Accrued revenue	4,200.00	0.00
Total current assets	504,961.61	322,820.00
Non-current assets · Plant and equipment - cost	153,000.00	126,000.00
Non-current assets · Plant and equipment - accumulated depreciation	-54,716.67	-34,200.00
Non-current assets · Right-of-use asset - cost	65,742.03	0.00
Non-current assets · Right-of-use asset - accumulated depreciation	-10,957.02	0.00
Non-current assets · Deferred tax asset	13,899.39	2,000.00
Total non-current assets	166,967.73	93,800.00
Current liabilities · Trade payables	33,066.00	0.00
Current liabilities · Accrued expenses	4,440.00	0.00
Current liabilities · Superannuation payable	3,762.00	0.00
Current liabilities · Annual leave provision	17,446.16	14,000.00
Current liabilities · GST settlement payable	4,215.50	0.00
Current liabilities · Customer deposits / deferred revenue	9,000.00	0.00
Current liabilities · Warranty provision	6,200.00	6,000.00
Current liabilities · Legal claim provision	18,000.00	0.00
Current liabilities · Bank loan - current	24,000.00	24,000.00
Current liabilities · Lease liability - current	21,242.57	0.00
Current liabilities · Current income tax payable	34,822.43	4,000.00
Total current liabilities	176,194.66	48,000.00
Non-current liabilities · Bank loan - non-current	32,000.00	56,000.00
Non-current liabilities · Lease liability - non-current	34,345.54	0.00
Non-current liabilities · Deferred tax liability	2,500.00	1,000.00
Total non-current liabilities	68,845.54	57,000.00

Line item	2025-12-31	31 Dec 2024
Equity · Share capital	100,000.00	100,000.00
Equity · Retained earnings	211,620.00	211,620.00
Current-year profit	115,269.14	0.00
Total equity	426,889.14	311,620.00
Total assets	671,929.34	416,620.00
Total liabilities and equity	671,929.34	416,620.00
Accounting-equation difference	0.00	0.00

Current classification follows the supplied operating cycle, short-term provision settlements and explicit current debt accounts. Deferred tax is non-current. Investigate suspense before completing the reporting file.

Statement of changes in equity

Harbour & Co. Supply | AUD | 2025-12-31

Line item	2025-01-01 to 2025-12-31
Opening equity at the start of the selected period	311,620.00
Profit for the selected period	115,269.14
Share capital contributions / (reductions)	0.00
Dividends and other equity movements	0.00
Closing equity	426,889.14
Equity rollforward difference	0.00

Opening equity includes profits from earlier months where a monthly reporting period is selected. All other equity movements are derived from the posted equity accounts.

Statement of cash flows

Harbour & Co. Supply | AUD | 2025-12-31

Line item	2025-01-01 to 2025-12-31
Operating activities	123,569.90
Investing activities	-29,700.00
Financing activities	-40,140.00
Net change in cash and cash equivalents	53,729.90
Opening cash and cash equivalents	210,500.00
Closing cash and cash equivalents	264,229.90

Interest paid is financing and interest received is investing under the selected case policy. Non-cash lease commencement is excluded from cash flows. The indirect bridge contains no balancing plug.

Reconciliation of profit to operating cash flow

Harbour & Co. Supply | AUD | 2025-12-31

Line item	2025-01-01 to 2025-12-31
Profit for the period	115,269.14
Expected credit loss allowance	7,662.39
Inventory NRV allowance	3,289.00
Plant and equipment - accumulated depreciation	20,516.67
Right-of-use asset - accumulated depreciation	10,957.02
Deferred tax asset	-11,899.39
Deferred tax liability	1,500.00
Annual leave provision	3,446.16
Warranty provision	200.00
Legal claim provision	18,000.00
Interest expense classified as financing	5,986.08
Interest income classified as investing	0.00
Gain / loss on disposal adjustment	0.00
Trade receivables	-104,439.10
Inventory	-27,724.00
Prepaid subscriptions	-3,000.00
Accrued revenue	-4,200.00
Trade payables	33,066.00
Accrued expenses	4,440.00
Superannuation payable	3,762.00
GST settlement payable	4,215.50
Customer deposits / deferred revenue	9,000.00
Current income tax payable	30,822.43
Control movements relating to investing and financing	2,700.00
Net operating cash from the indirect bridge	123,569.90
Difference to actual operating cash flows	0.00

Interest paid is financing and interest received is investing under the selected case policy. Non-cash lease commencement is excluded from cash flows. The indirect bridge contains no balancing plug.

Note 01 | Entity information and basis of preparation

Harbour & Co. Supply is a fictional Australian trading and installation business. These practice statements use AUD, accrual accounting and a 31 December year-end. Amounts are shown to cents so you can trace them directly to the ledger.

The financial position comparative is the agreed opening trial balance at 31 December 2024. Prior-year performance and cash-flow information is unavailable. This draft cannot represent a complete statutory comparative set.

The reporting entity, applicable reporting tier, legal requirements, approval date and going-concern assessment must be established before preparing real financial statements. The app generates no directors' declaration or audit opinion.

Source evidence: TB-OPEN

AASB accounting standards and applicable periods
<https://aasb.gov.au/pronouncements/accounting-standards/>

Preparer assessment | Note 01

Assessment remains open.

No assessment has been saved. Address these preparation questions:

- Identify the entity, principal activities, reporting period, currency and rounding convention.
- State what historical information and reporting-framework decisions remain outstanding.

Note 02 | Material accounting policies and significant judgments

Revenue follows delivery or customer acceptance of the promised goods or services. Customer advances remain liabilities until the relevant performance obligation is satisfied. Recoverable GST is excluded from income and expenses.

Inventory uses fixed case unit costs and is measured at the lower of cost and net realisable value. Owned equipment uses straight-line depreciation with individual useful lives and residual values. The supplied convention charges a full month from availability for use.

Lease liabilities start at the present value of contractual payments and subsequently use effective interest. The related right-of-use asset is depreciated separately. Provisions require a present obligation, a probable outflow and a reliable estimate under the supplied facts.

Significant estimates include ECL rates, inventory NRV, asset useful lives, warranty costs, legal outcomes, leave valuation, tax bases and DTA recoverability. Describe the evidence, sensitivity and uncertainty for each material judgment.

Source evidence: TB-OPEN, ECL-MEMO, LEGAL-LETTER, FA-REGISTER

Preparer assessment | Note 02

Assessment remains open.

No assessment has been saved. Address these preparation questions:

- Explain policies that matter to this entity; avoid copying irrelevant policies.
- Document estimate changes separately from errors and policy changes.

Note 03 | Revenue and contract balances

The revenue breakdown and contract balances below come from the posted ledger. Trace December cut-off to dispatch, signed acceptance, contracts and unbilled-work evidence. A bank receipt alone does not establish earned revenue.

Revenue recognised in the year

Line item	Year to 2025-12-31
Product sales	1,053,471.00
Installation and service revenue	183,600.00
Sales returns / credit adjustments	0.00
Revenue	1,237,071.00

Contract-related balances

Line item	2025-12-31	31 Dec 2024
Unbilled / accrued revenue	4,200.00	0.00
Customer advances / deferred revenue	9,000.00	0.00

Source evidence: CONTRACT-DEC, UNBILLED-MEMO

Preparer assessment | Note 03

Assessment remains open.

No assessment has been saved. Address these preparation questions:

- Explain when each major revenue stream is earned.
- Reconcile opening advances, cash received, performance and closing contract liabilities.

Note 04 | Expenses and other income

These figures provide the expense analysis supporting profit or loss. Review unusual movements and distinguish operating costs, finance costs and annual estimate adjustments.

Selected expenses by nature

Line item	Year to 2025-12-31
Inventory cost of sales	480,943.00
Inventory count losses and NRV charges	4,129.00
Wages, salaries, super and leave expense	430,349.66
Owned asset depreciation	20,516.67
ROU depreciation	10,957.02
Expected credit loss and bad debt expense	7,662.39
Warranty and legal provision expense	23,000.00
Finance costs	5,986.08
Other income	0.00

Source evidence: PAY-2025-12, FA-REGISTER, WARRANTY-REPORT

Preparer assessment | Note 04

Assessment remains open.

No assessment has been saved. Address these preparation questions:

- Explain significant year-end catch-up charges.
- Check presentation consistency and material expense disclosures.

Note 05 | Income tax expense and deferred taxation

The training computation uses an assumed 25% rate, supplied temporary differences and an additional tax-depreciation deduction of \$6,000. Do not substitute this computation for an entity-specific tax return. Before December, this full-year assumption bridge is a prospective practice calculation, not an interim tax provision.

Deferred tax follows the supplied closing tax bases and recognition assumptions. The opening tax balances include a catch-up, so total tax expense need not equal exactly 25% of accounting profit. Consider whether future taxable profits support each DTA.

Book-to-tax calculation

Line item	Year to 2025-12-31
Accounting profit before tax	148,692.18
Expected credit loss allowance movement	7,662.39
Warranty provision movement	200.00
Legal claim provision movement	18,000.00
Annual leave provision movement	3,446.16
Inventory NRV allowance movement	3,289.00
Additional tax depreciation deduction	-6,000.00
Taxable profit / loss under case assumptions	175,289.73
Expected current tax at 25%, floored at zero	43,822.43
Current tax expense posted	43,822.43
Current tax posting difference	0.00
Deferred tax expense / (benefit)	-10,399.39
Total tax expense	33,423.04

Tax statement balances

Line item	2025-12-31	31 Dec 2024
Current income tax payable	34,822.43	4,000.00
Deferred tax asset	13,899.39	2,000.00
Deferred tax liability	2,500.00	1,000.00

Tax expense explanation

Line item	Year to 2025-12-31
Tax at 25% of accounting profit	37,173.05
Opening catch-up, unrecognised tax losses and other differences to explain	-3,750.01
Total income tax expense	33,423.04

Source evidence: TAX-MEMO

Preparer assessment | Note 05

Assessment remains open.

No assessment has been saved. Address these preparation questions:

- Explain the difference between accounting profit, taxable income and cash tax paid.
- Reconcile opening and closing tax balances and assess DTA recoverability.

Note 06 | Cash and cash equivalents

Cash comprises the operating bank account and petty cash. Internal transfers between those accounts are excluded from cash flows. The source bank statement is independently generated and remains fixed when you post entries.

Interest paid is classified as financing and interest received as investing under the selected case policy. Investigate restrictions, overdrafts and security arrangements before concluding on real cash disclosures.

Cash balances

Line item	2025-12-31	31 Dec 2024
Operating bank account	263,729.90	210,000.00
Petty cash	500.00	500.00
Cash and cash equivalents	264,229.90	210,500.00

Cash movement reconciliation

Line item	Year to 2025-12-31
Opening cash and cash equivalents	210,500.00
Operating activities	123,569.90
Investing activities	-29,700.00
Financing activities	-40,140.00
Closing cash and cash equivalents	264,229.90

Source evidence: BANK-2025-12, REMIT-DEC31
AASB 107 · Statement of Cash Flows
<https://standards.aasb.gov.au/aasb-107-mar-2020>

Preparer assessment | Note 06

- Assessment remains open.
- No assessment has been saved. Address these preparation questions:
- Explain every bank reconciliation item and inspect subsequent clearance.
 - Check cash restrictions, cash-equivalent definitions and overdraft presentation.

Note 07 | Trade receivables and expected credit losses

Aging is based on invoice due dates. Unapplied credits remain visible separately, so gross positive invoice exposure may exceed the net receivables control. Applying a credit changes invoice aging without changing the control balance.

The case ECL exercise uses the supplied loss matrix and specific overdue facts. A real estimate requires historical loss experience, current conditions, forward-looking information and consideration of credit concentrations.

Receivables carrying amount

Line item	2025-12-31	31 Dec 2024
Trade receivables control	116,439.10	12,000.00
Expected credit loss allowance	-10,662.39	-3,000.00
Net trade receivables	105,776.71	9,000.00

Gross positive invoice exposure by overdue band

Line item	Year to 2025-12-31
Not yet due	106,239.10
1-30 days overdue	0.00
31-60 days overdue	0.00
61-90 days overdue	0.00
More than 90 days overdue	12,000.00
Unapplied credits and other account movements	-1,800.00

Expected credit loss allowance rollforward

Line item	Year to 2025-12-31
Opening liability / allowance	3,000.00
Amounts recognised / increases	7,662.39
Utilised in cash settlements	0.00
Other reductions / releases	0.00
Closing liability / allowance	10,662.39

Source evidence: ECL-MEMO, SI-2024-118

Preparer assessment | Note 07

Assessment remains open.

No assessment has been saved. Address these preparation questions:

- Reconcile external statements, subsequent collections and disputed amounts.
- Explain loss rates, specific assessments and any material concentration.

Note 08 | Inventories

The ledger carries inventory cost and a separate NRV allowance. Signed physical counts support existence and quantity differences; item-level selling-price and cost evidence support valuation. The case uses constant unit costs and does not simulate FIFO or changing weighted-average cost layers.

Inventory carrying amount

Line item	2025-12-31	31 Dec 2024
Inventory at cost	131,044.00	103,320.00
NRV allowance	-3,289.00	0.00
Net inventory	127,755.00	103,320.00

Inventory amounts charged to expense

Line item	Year to 2025-12-31
Cost of goods sold	480,943.00
Count shortages / shrinkage	840.00
NRV write-down / (reversal)	3,289.00

NRV allowance rollforward

Line item	Year to 2025-12-31
Opening liability / allowance	0.00
Amounts recognised / increases	3,289.00
Utilised in cash settlements	0.00
Other reductions / releases	0.00
Closing liability / allowance	3,289.00

Source evidence: COUNT-2025

AASB 102 · Inventories

<https://standards.aasb.gov.au/aasb-102-mar-2020>

Preparer assessment | Note 08

Assessment remains open.

No assessment has been saved. Address these preparation questions:

- Explain quantity discrepancies and inventory pledged as security, if any.
- Document the basis of NRV and separately assess any reversal of a prior write-down.

Note 09 | Prepayments and other current assets

Prepayments represent future service coverage supported by contracts. Accrued revenue represents earned but unbilled work under the supplied recognition facts. Reconcile each balance to its coverage period, amortisation and cut-off evidence.

Other current assets

Line item	2025-12-31	31 Dec 2024
Prepaid insurance	0.00	0.00
Prepaid software subscriptions	3,000.00	0.00
Accrued revenue	4,200.00	0.00
Recoverable GST input control	0.00	0.00
Suspense / amounts to investigate	0.00	0.00

Source evidence: INS-2025, SUB-2025, UNBILLED-MEMO

Preparer assessment | Note 09

Assessment remains open.

No assessment has been saved. Address these preparation questions:

- Recalculate remaining service coverage at the reporting date.
- Resolve suspense balances and assess recoverability and classification.

Note 10 | Property, plant and equipment

Owned equipment is measured at cost less accumulated depreciation and any recognised impairment. The register specifies availability dates, useful lives and residual values. Reconcile the individual register to these ledger totals before concluding.

The rollforward below reports actual ledger movements. Review disposals and reversals to explain the category labelled other reductions; a balanced rollforward alone does not validate capitalisation or useful lives.

Owned equipment rollforward

Line item	Cost	Accumulated depreciation	Carrying value
Opening balance	126,000.00	34,200.00	91,800.00
Additions / depreciation charges	27,000.00	20,516.67	6,483.33
Disposals / other reductions	0.00	0.00	0.00
Closing balance	153,000.00	54,716.67	98,283.33

Owned equipment comparative

Line item	2025-12-31	31 Dec 2024
Equipment cost	153,000.00	126,000.00
Accumulated depreciation	-54,716.67	-34,200.00
Carrying value	98,283.33	91,800.00

Source evidence: FA-REGISTER, PI-CAPEX-12

Preparer assessment | Note 10

Assessment remains open.

No assessment has been saved. Address these preparation questions:

- Document capitalisation, availability for use and any impairment indicators.
- Confirm depreciation method, useful lives, residual values and title.

Note 11 | Right-of-use assets and lease liabilities

The supplied lease has 36 monthly payments, a monthly discount rate of 0.50% and an initial present value of \$65,742.03. Separate liability interest, principal repayment and ROU depreciation.

The contractual maturity analysis is undiscounted and follows the supplied contract, while the balance sheet liability is discounted. It remains a source schedule even when the learner has not posted all required entries. The final payment includes the rounding correction.

ROU asset rollforward

Line item	Cost	Accumulated depreciation	Carrying value
Opening balance	0.00	0.00	0.00
Additions / depreciation charges	65,742.03	10,957.02	54,785.01
Disposals / other reductions	0.00	0.00	0.00
Closing balance	65,742.03	10,957.02	54,785.01

Lease liability classification

Line item	2025-12-31	31 Dec 2024
Current lease liability	21,242.57	0.00
Non-current lease liability	34,345.54	0.00
Total lease liability	55,588.11	0.00

Lease liability movement

Line item	Year to 2025-12-31
Opening principal / liability	0.00
Cash borrowings less principal settlements	-10,153.92
Non-cash interest accrual	0.00
Other non-cash changes, including commencement	65,742.03
Closing principal / liability	55,588.11

Remaining contractual lease payments

Line item	Year to 2025-12-31
Payments due within the next twelve months	24,000.00
Payments due after twelve months	36,000.01
Total undiscounted payments	60,000.01
Remaining finance charge in source schedule	4,411.90

Preparer assessment | Note 11

Assessment remains open.

No assessment has been saved. Address these preparation questions:

- Assess contract completeness, extension options and the discount rate.
- Reconcile the liability to the schedule and review current classification.

Note 12 | Trade payables, accruals and employee benefits

Trade payables and accruals reflect received goods and services. Search for unrecorded liabilities using supplier statements and subsequent invoices. Payroll liabilities separate employee net pay, withholding, other deductions, employer super and leave.

The supplied leave valuation excludes on-costs and discounting. Withholding percentages are teaching assumptions. Employer super uses the dated case rates and specified ordinary-time-earnings components. These inputs do not produce a statutory payroll filing.

Operating liabilities

Line item	2025-12-31	31 Dec 2024
Trade payables	33,066.00	0.00
Accrued expenses	4,440.00	0.00
Net wages payable	0.00	0.00
PAYG withholding payable	0.00	0.00
Super payable	3,762.00	0.00
Employee deductions payable	0.00	0.00
Annual leave provision	17,446.16	14,000.00
Interest payable	0.00	0.00
GST output control	0.00	0.00
GST settlement payable / (receivable)	4,215.50	0.00

Annual leave provision movement

Line item	Year to 2025-12-31
Opening liability / allowance	14,000.00
Amounts recognised / increases	3,446.16
Utilised in cash settlements	0.00
Other reductions / releases	0.00
Closing liability / allowance	17,446.16

Source evidence: ACCRUAL-MEMO, PAY-2025-12, LEAVE-REPORT

Preparer assessment | Note 12

Assessment remains open.

No assessment has been saved. Address these preparation questions:

- Agree payroll liabilities to registers, returns and subsequent settlement.
- Consider leave on-costs, long service leave and other benefits omitted from the teaching case.

Note 13 | Provisions and estimation uncertainty

The warranty provision supports obligations from goods already sold. The legal provision follows the supplied present-obligation and probable-outflow assessment using the stated single-obligation best estimate. A probability of loss is not automatically the percentage by which to multiply the settlement amount.

For each material class explain the nature, expected timing, uncertainty, significant assumptions and reimbursements. Future operating losses and unsupported refurbishment intentions do not create provisions.

Warranty provision movement

Line item	Year to 2025-12-31
Opening liability / allowance	6,000.00
Amounts recognised / increases	5,000.00
Utilised in cash settlements	-4,800.00
Other reductions / releases	0.00
Closing liability / allowance	6,200.00

Legal provision movement

Line item	Year to 2025-12-31
Opening liability / allowance	0.00
Amounts recognised / increases	18,000.00
Utilised in cash settlements	0.00
Other reductions / releases	0.00
Closing liability / allowance	18,000.00

Recognised provisions

Line item	2025-12-31	31 Dec 2024
Warranty provision	6,200.00	6,000.00
Legal claim provision	18,000.00	0.00
Total warranty and legal provisions	24,200.00	6,000.00

Source evidence: WARRANTY-REPORT, LEGAL-LETTER

AASB 137 · Provisions and contingencies

<https://standards.aasb.gov.au/node/868>

Preparer assessment | Note 13

Assessment remains open.

No assessment has been saved. Address these preparation questions:

- Explain the obligation, evidence and estimation method for each provision.
- Evaluate discounting where material and recognition of any reimbursement separately.

Note 14 | Borrowings and financing movements

The case loan amortises through scheduled principal payments and monthly interest. Current and non-current balances must follow the supported repayment obligations. Classification transfers do not create cash flows or change total principal.

The movement schedule below reconciles actual ledger debt movements. It does not establish compliance with loan covenants; request the executed agreement, security details, lender confirmations and any waivers for that assessment.

Term loan classification

Line item	2025-12-31	31 Dec 2024
Current term loan	24,000.00	24,000.00
Non-current term loan	32,000.00	56,000.00
Total term loan	56,000.00	80,000.00

Term loan rollforward

Line item	Year to 2025-12-31
Opening principal / liability	80,000.00
Cash borrowings less principal settlements	-24,000.00
Non-cash interest accrual	0.00
Other non-cash changes, including commencement	0.00
Closing principal / liability	56,000.00

Finance costs

Line item	Year to 2025-12-31
Interest expense in profit or loss	5,986.08

Source evidence: LOAN-AGREEMENT, BANK-2025-12

Preparer assessment | Note 14

Assessment remains open.

No assessment has been saved. Address these preparation questions:

- Recalculate interest, principal and current portions.
- Document security, terms, covenant compliance and liquidity implications.

Note 15 | Issued capital, retained earnings and distributions

Equity movements must agree with shareholder records, approvals and the ledger. A dividend is a distribution of equity and does not reduce operating profit. No complete share register or legal capital documentation is supplied in this case.

Equity accounts

Line item	2025-12-31	31 Dec 2024
Issued share capital	100,000.00	100,000.00
Retained earnings brought forward	211,620.00	211,620.00
Dividends account	0.00	0.00
Current-year profit	115,269.14	0.00
Total equity	426,889.14	311,620.00

Source evidence: TB-OPEN

Preparer assessment | Note 15

Assessment remains open.

No assessment has been saved. Address these preparation questions:

- Agree share capital and distributions to authorised records.
- Explain any restrictions, classes of shares and other equity movements.

Note 16 | Financial instruments, credit risk and liquidity

The source case is denominated in AUD. Credit risk arises primarily from customers; liquidity risk arises from operating obligations and scheduled debt payments. Do not claim that risk is immaterial solely because the ledger balances.

The current-position summary classifies operating balances and the supplied provision settlements as current; equipment, ROU assets, deferred tax and the explicit non-current debt accounts are non-current. Suspense remains unresolved. This is an accounting snapshot, not a cash forecast. Build a forecast incorporating collections, overdue debts, supplier terms, payroll, taxes, capital spending and debt service before reaching a liquidity or going-concern conclusion.

Financial position indicators

Line item	Year to 2025-12-31
Current assets	504,961.61
Current liabilities	176,194.66
Working capital	328,766.95
Cash and cash equivalents	264,229.90
Gross receivables more than 90 days overdue	12,000.00
Interest-bearing loan and lease liabilities	111,588.11

Source evidence: ECL-MEMO, LOAN-AGREEMENT, LEASE-2025

Preparer assessment | Note 16

Assessment remains open.

No assessment has been saved. Address these preparation questions:

- Assess customer concentrations, collateral, credit management and liquidity management.
- Prepare maturity and sensitivity information appropriate to the applicable reporting regime.

Note 17 | Contingencies, commitments and related parties

The separate possible legal claim is \$40,000 with a supplied 20% likelihood of outflow. Under the case assessment it is disclosed as a contingent liability, while the probable case is recognised separately. The \$25,000 refurbishment intention creates no provision solely from the plan.

Contractual lease commitments are analysed in Note 11. Other capital commitments, guarantees, indemnities, related parties, key management personnel and outstanding balances require additional evidence. The absence of an identified transaction in the supplied ledger does not establish completeness.

Source evidence: LEGAL-LETTER, LEASE-2025

AASB 124 · Related Party Disclosures

<https://standards.aasb.gov.au/aasb-124-dec-2022>

Preparer assessment | Note 17

Assessment remains open.

No assessment has been saved. Address these preparation questions:

- Obtain management and legal confirmations of claims, guarantees and commitments.
- Identify related parties, transactions, balances, terms, commitments and key management disclosures.

Note 18 | Subsequent events, going concern and authorisation

Events after reporting date are assessed through the date the statements are authorised for issue. Evidence of conditions existing at year-end may require adjustment; material events arising later may require disclosure. The case does not supply a complete subsequent-events review.

The known \$1,800 deposit clears on 2 January and supports a year-end bank timing difference. Do not treat that one receipt as a complete subsequent-events assessment. Request later bank statements, invoices, minutes, legal updates and management representations.

Going concern requires an evidence-based assessment of forecasts, financing and material uncertainties. Do not insert an unsupported clean conclusion or approval date. Record outstanding information and who would authorise the financial statements.

Source evidence: REMIT-DEC31, TB-OPEN

AASB 110 · Events after the Reporting Period
<https://standards.aasb.gov.au/aasb-110-mar-2020>

Preparer assessment | Note 18

Assessment remains open.

No assessment has been saved. Address these preparation questions:

- Classify identified subsequent events and document adjustment or disclosure conclusions.
- Record the going-concern assessment, material uncertainties, authorising body and actual approval date.